

KVP RAMACHANDRA RAO

Member of Parliament, Rajya Sabha

Late chief minister of Andhra Pradesh Y.S. Rajasekhara Reddy was always seeking more schemes and money from Jaipalji, be it for implementing the water supply schemes or for decongesting Hyderabad with an eight-lane 168-km-long outer ring road. When he needed water, he could find an alternative water source from the Godavari river because the

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Krishna river was being harnessed with so many projects. Though rural areas were his priority, YSR never lagged behind in implementing infrastructure projects for urban areas. The flyovers and airport at Hyderabad are of a kind which even people in Delhi cannot imagine.”

P.C. ZORAM SANGLIANA

Minister for Transport, Mizoram

Mizoram is one of the most urbanised states in India with 53 per cent of its population living in urban areas. More people are expected to come to urban areas seeking better opportunities. As a result of this urbanisation, accompanied by increasing ratio of urban poor and slum dwellers, it will really be difficult to provide even basic amenities like water, schools, etc.

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To combat this, the Government of Mizoram is proposing a new scheme called the new land policy. For the rural areas, I am giving them land and assistance. With the Centre's support, this problem too can be solved.”



Rs 50,000 crore from the Union Budget so as to motivate the state governments and urban local bodies to raise their matching amount of Rs 50,000 crore. And he has been as good as his word. The response to this mission has been so spontaneous, so massive. Out of Rs 1,00,000 crore, we have already sanctioned schemes worth Rs 95,385 crore—mostly on basic services like drinking water, sewerage, drainage, waste management and housing for the poor. And mind you, we are only at the mid-point of the seven year mission period. The projects that we have taken up are gigantic, but not glitzy.

All projects in urban areas are capital intensive, unimaginably capital intensive. I congratulate the states for having responded to our mission in more than adequate measure. Now we are under pressure to increase the amount. I requested the prime minister to increase the amount by Rs 50,000 crore at least. But since we are all going through a slowdown and the consequent crunch, I have approached the World Bank and am hopeful of getting Rs 25,000 crore by way of a loan. The states too can again raise the matching amount of Rs 25,000 crore. This mission was reform driven. We laid stress on reforms. Here, I would like to refer to some of the reforms. We wanted the Urban Land Ceiling Act to be repealed. I am glad to mention at this august forum that all the states in India repealed the Urban Land Ceiling Act, except two. Then we wanted the stamp duty to be reduced to 5 per cent. Please remember, before the mission was launched, stamp duties in some states were as high as 12 per cent. Now at least nine states have reduced the stamp duty to 5 per cent while others are in the process of doing so. We asked the state governments to see that the urban local bodies go in for accrual based double entry accounting system. Out of the 65 mission cities, 29 cities have already adopted this so that the accounts can be transparent. Sixteen states have already enacted public disclosure law in the interest of transparency and we said that every city must at least spare 25 per cent for pro-poor schemes in the respective cities, which we call inclusive growth.

While I have great regard for Ratan Tata, I am also a great admirer of the engineering marvel that Nano represents. May I tell you friends, as minister for urban transport, I am not too happy about it. There are buy-